ABC News (business, 3–4 Nov 2026)
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Canva cuts more than 1,200 jobs, and questions grow over David Jones before Christmas

Two well-known Australian businesses are under pressure. Design company Canva is cutting about a fifth of its workforce, and department store David Jones faces speculation about its finances as households cut back amid high interest rates and inflation.

WHAT HAPPENED

- **Canva** is cutting more than **1,200** roles, about a fifth of its workforce. The company insists the roles are not being replaced by AI.
- **Scentre**, owner of Westfield, told the ASX that David Jones had paid rent up to 30 September 2026 for its **17** locations in its centres.
- The ABC reports David Jones is facing "alarming" financial speculation just before Christmas. Rival **Myer**'s shares rose 4.7%.
- Fashion label **Black Milk** also entered voluntary administration.
- RBA Governor Bullock warned that with incomes not growing quickly, it **may feel like a recession** for many households.

1,200+
Roles Canva is cutting

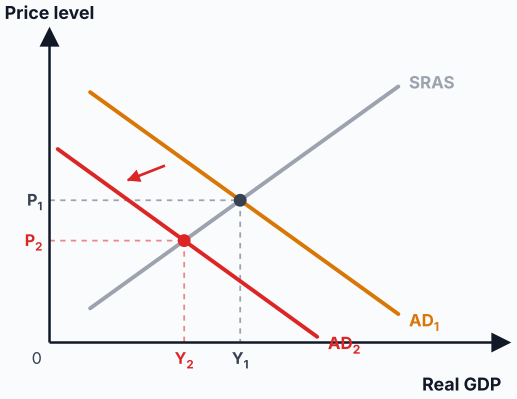
~1/5
Share of Canva's workforce affected

17
David Jones stores in Westfield centres

Cyclical unemployment: caused by a downturn in the economic cycle and weak aggregate demand.
Structural unemployment: caused by long-term changes in the economy, such as new technology or shifts in consumer tastes.

DIAGRAM

Weak demand and cyclical job losses



High interest rates and cost-of-living pressure reduce consumption, shifting aggregate demand from AD_1 to AD_2.

Real GDP falls from Y_1 to Y_2, so firms need fewer workers. Retailers such as department stores are especially exposed because discretionary spending is cut first.

Exam angle: real-world job losses often mix causes. A retailer losing customers to online shopping is **structural**; losing them because of high rates is **cyclical**.

COMPARE

Cyclical or structural? Weighing the evidence

Signs of cyclical causes

- Five RBA rate hikes in 2026 and high inflation squeezing households.
- Discretionary retail (department stores, fashion) hit first.
- Bullock: it may "feel like a recession".

Signs of structural causes

- Long-run shift from department stores to online retail.
- Technology firms restructuring as AI changes the industry (though Canva says roles are not being replaced by AI).

Syllabus link: Topic 3 – economic issues: unemployment (types and causes – cyclical, structural) and the effects of the economic cycle on businesses and households.

Try this
Classify the job losses at Canva and David Jones as cyclical or structural. Justify your answer with evidence from the news. **(4 marks)**

Sources: abc.net.au/news/2026-11-04/asx-markets-business-live-news-nov-4/107343406 · abc.net.au/news/2026-11-03/david-jones-future-debt-loan-stores/107339924 · abc.net.au/news/2026-11-04/australian-banks-lift-interest-rates-after-rba-cash-rate-hike/107341858

Diagrams are illustrative, not to scale